The Memo

DAILY INTELLIGENCE BRIEF

MONDAY, MARCH 23, 2026

NO. 0018

Executive Summary

[Iran Pause] Trump postpones Iran energy strikes five days. Oil crashes 14% intraday. Iran denies any talks occurred.

[Rate Shock] Dovish Fed's Goolsbee says he 'could see circumstances' for a hike. Markets price 75% hike probability by year-end.

[UK Gilts] Traders fully price four BoE hikes in 2026. Starmer chairs emergency meeting with Governor Bailey.

[ECB Pivot] Goldman joins JPMorgan and Barclays expecting ECB hikes in April and June. Consensus decisively hawkish.

[Oil Forecast] Goldman says oil could top 2008's $147 record. Calls Hormuz the 'largest oil supply shock ever.'

[Data Centers] Bain Capital's Bridge Data Centres seeks up to $6B loan — one of Asia's largest-ever infrastructure borrowings.

[Clean Energy] China's battery trio gains $70B in market cap. Investors bet Iran war accelerates the renewables shift.

[Italy Telecom] Poste Italiane bids €10.8B for Telecom Italia. Returns the former monopoly to state control after three decades.

[AI Chips] Ex-Goldman banker's AI chip startup Kandou raises $225M from SoftBank and Synopsys.

[India Stress] Rupee hits record low, down 3% since war began. Modi warns of 'unprecedented challenges' for energy-import economy.

Credit, Rates & Currencies

NEW **[Fed's Goolsbee — 'Could See Circumstances' for Rate Hike]** Chicago Fed president said Monday a hike is possible depending on the Iran war's trajectory. Governor Miran pushed back, reaffirming his outlook for four 2026 cuts. Goolsbee-Miran split will drive rate volatility into summer. FOMC window has shifted materially hawkish.

DAY 2 **[Trump Postpones Iran Energy Strikes Five Days — Oil Crashes 14%]** *Previously: Trump gave Iran 48 hours to reopen Hormuz or face power plant strikes. Brent above $112.* Brent posted one of the biggest intraday swings on record Monday. Trump cited 'good and productive conversations.' Iran denied any talks. Previously: Previously: Trump gave Iran 48 hours to reopen Hormuz or face power plant strikes. Brent above $112. UK, France, Germany, Italy issued joint readiness statement. Iran's denial suggests fragile footing. No progress within five days means violent repricing higher. Energy, transport, EM FX exposed.

DAY 2 **[10-Year Treasury Hits 4.435% — Highest in Nine Months]** *Previously: 10-year touched 4.415% Friday. Global yields at highest since May 2024.* Benchmark rose 4bp Monday. Two-year surged 10bp to 3.997%. Fed futures now price 75% chance of a hike by year-end. Zero cuts priced for 2026. Previously: Previously: 10-year touched 4.415% Friday. UK gilt at highest since 2008. Global yields hit highest since May 2024. Treasury safe-haven function inverted — inflation expectations dominate over flight-to-quality. Duration risk acute for credit portfolios.

DAY 2 **[UK Gilt Yields Surge to 2008 Highs — Traders Price Four BoE Hikes]** *Previously: Steepest monthly gilt decline since the 2022 Truss crisis.* Markets now fully price 100bp of BoE tightening in 2026. Starmer chaired emergency meeting with Bailey and ministers Monday. Previously: Previously: Steepest monthly gilt decline since the 2022 Truss crisis. War-driven energy costs and rising yields hammer UK fixed income. Most aggressive BoE tightening since 2022. UK housing and consumer discretionary most exposed over 3–6 months.

DAY 2 **[Goldman Now Says Oil Could Top 2008's $147 Record]** *Previously: Goldman labeled Hormuz the 'largest-ever supply shock.' IEA reported 40+ Middle East energy assets severely damaged.* Brent whipsawed between $112 and below $100 Monday on Trump's postponement. Previously: Previously: Brent at $113.20 Friday. Goldman labeled Hormuz the 'largest-ever supply shock.' IEA reported 40+ Middle East energy assets severely damaged. Each week of Hormuz closure compounds supply loss. Airlines, petrochemicals, EM importers face existential cost pressure through Q2.

DAY 2 **[Goldman Joins JPMorgan, Barclays — Now Expects ECB Hikes in April and June]** *Previously: ECB VP Guindos told El Mundo the bank is watching price spillovers.* Goldman shifted from 'hold all year' to two 25bp hikes. Money markets price three ECB rate rises for 2026. Previously: Previously: Vice President Guindos told El Mundo the ECB is watching price spillovers. Lagarde speaks Wednesday at ECB Watchers conference. Goldman's pivot is the most dramatic street reversal yet. European credit spreads and periphery bonds face repricing. EUR corporate issuance likely stalls.

Sources: Bloomberg; Bloomberg; Bloomberg; CNBC; Bloomberg; FT; FT; WSJ; Reuters; Bloomberg

Global Conflict Monitor

ASIA

[Asia-Pacific — India Energy Crisis Deepens; Japan Resists Gulf Deployment] ▲ **Escalating**
Parties: India, Japan, South Korea, China, Pakistan
Region: Asia
Latest Development: Rupee hit record low, down ~3% since war began Feb 28. Modi warned of 'unprecedented challenges.' Japan's majority opposes sending warships despite US pressure. South Korea named BIS veteran Shin Hyun Song as hawkish BoK governor.
Risk Assessment: India imports ~85% of crude. RBI reserve burn rate unsustainable beyond months. Japanese opposition limits US coalition options. South Korea's hawkish BoK pick reflects regional inflation defense.

MIDDLE EAST

[US-Iran War — Trump Postpones Energy Strikes, Claims Talks Underway] ▬ **Ongoing**
Parties: United States, Israel vs. Iran, Hezbollah; Gulf states, Japan, India navigating bilateral access
Region: Middle East
Latest Development: Trump postponed strikes on Iranian power plants for five days, citing 'good and productive conversations.' Iran denied any talks. Hormuz remains near-standstill entering week four. Two Indian-flagged LPG carriers transited under bilateral deal. Israel launched wide-scale strikes on Tehran infrastructure and is preparing to expand ground operations in Lebanon.
Risk Assessment: Five-day window creates binary risk event. If talks collapse, strikes trigger retaliatory attacks on Gulf energy and desalination facilities. Airlines, shipping, energy importers face acute pressure through Q2.

EUROPE

[Ukraine-Russia — Primorsk Oil Port Hit by Drones] ▬ **Ongoing**
Parties: Russia vs. Ukraine
Region: Europe
Latest Development: Ukrainian drones struck Russia's Primorsk oil port. Fire broke out; tanker loadings suspended. Trilateral peace talks remain on hold as Iran dominates Washington's bandwidth.
Risk Assessment: Primorsk disruption adds marginal tightness to strained global oil supply. Ukraine's negotiating position weakens but military freedom of action may increase.

AFRICA

[Sudan Civil War — Aid Routes Disrupted by Iran Conflict] ▬ **Ongoing**
Parties: Sudanese Armed Forces (SAF) vs. Rapid Support Forces (RSF)
Region: Africa
Latest Development: WFP reports food aid stuck in transit as Iran war disrupts humanitarian shipping. Elevated oil and food prices reduce donor purchasing power.
Risk Assessment: African food-importing nations face cascading price pressures through Q2–Q3.

Sources: Bloomberg; FT; Bloomberg; Bloomberg; FT; Bloomberg; Reuters; Bloomberg

World Affairs

NEW **[Trump Claims 'Productive' Iran Talks — Tehran Denies Any Dialog]** Trump said Monday his team held discussions about ending the 24-day war. Iran immediately disputed the claim. Treasuries and oil whipsawed on conflicting statements. Markets will trade binary around the March 28 deadline. Trump's claim vs. Iran's denial suggests backchannel contacts or unilateral narrative.

NEW **[Poste Italiane Bids €10.8B for Telecom Italia — Returns to State Control]** State-backed postal operator would return Italy's former phone monopoly to government ownership after three decades. Part of broader European critical infrastructure renationalization. Renationalization at this scale signals Italy's strategic reassessment. KKR's FiberCop position may benefit from premium on Italian telecom assets.

NEW **[EU and Australia Near Trade Deal After Eight Years of Talks]** Brussels and Canberra could finally agree as geopolitical upheaval accelerates alliance-building. Both sides seeking strategic diversification amid US focus on Iran. Iran conflict accelerates non-US alliance formation. Australian agriculture and mining sectors stand to gain most over 12–18 months.

DAY 2 **[Merz's CDU Wins SPD Stronghold — Pressures German Coalition]** *Previously: CDU secured 31% vs SPD's 25.9% in Rhineland-Palatinate, held by SPD for 35 years.* Victory gives Merz fresh leverage for budget and defense spending negotiations. Previously: CDU secured 31% vs SPD's 25.9%. Victory offsets the Baden-Württemberg defeat two weeks ago. SPD weakness strengthens Merz's hand on fiscal policy. Coalition stability is the key risk for German bonds and infrastructure plans.

DAY 2 **[Le Pen's National Rally Loses Marseille, Toulon — But Wins Nice]** *Previously: National Rally failed to capture major cities in Sunday's municipal vote.* Far-right aligned candidate took France's fifth-largest city. Party defeated in Marseille, Toulon, and Nîmes. Previously: Previously: National Rally failed to capture major cities in Sunday's municipal vote. Socialist Emmanuel Gregoire won Paris. Nice gives Le Pen a beachhead but overall results disappoint. Limits RN momentum ahead of 2027 presidential cycle. French political risk premium contained.

Sources: Bloomberg; Bloomberg; FT; Bloomberg; Bloomberg

Art & Alternative Assets

NEW **[China Battery Trio Gains $70B as Iran War Sparks 'Paradigm Shift']** Clean energy share gains outstrip oil majors. CATL, BYD, and EVE Energy lead. Investors bet the crisis accelerates the renewables switch. Largest war-driven clean energy rotation since Russia's 2022 invasion. Durable theme for allocators looking beyond fossil fuel hedges.

NEW **[Berkshire Hathaway Takes $1.8B Stake in Tokio Marine]** Buffett deepens Japan exposure following 2023 trading house bets. Insurance sector benefits from rising premiums amid geopolitical risk. Buffett's Japan insurance bet validates reinsurance pricing power during wartime and the 'Japan renaissance' narrative for global allocators.

DAY 2 **[Art Basel Hong Kong Opens This Week — 240 Exhibitors, Two New Sectors]** *Previously: Art Basel Hong Kong confirmed 240 exhibitors and two new sectors.* VIP days March 25–26. 'Echoes' and 'Zero 10' digital art debut. TEFAF closed with 50,000+ visitors. Previously: Previously: Art Basel Hong Kong confirmed 240 exhibitors and two new sectors for its 2026 edition. Gulf buyers potentially sidelined by war. Art Dubai postponed. Whether Hong Kong absorbs displaced demand defines the spring auction season.

HKCEC — Baycrest — CC BY-SA 2.5, via Wikimedia Commons

Sources: FT; FT; Bloomberg

Design, UX & Industrial

NEW **[Nike's 2026 World Cup Kits — First Made From Recycled Textile Waste]** Nike-sponsored teams will wear kits from recycled textile waste. England's design engineers flags and lions into fabric rather than printing them. Circular fashion enters its highest-profile test at World Cup scale. Success could reset sportswear supply chains ahead of 2028 Olympics.

Nike Campus, Beaverton — Gary Halvorson, Oregon State Archives — CC BY 4.0, via Wikimedia Commons

NEW **[Sony Nears $1B Sale of Home Entertainment Unit to China's TCL]** Sony Group nearing binding agreement for majority stake sale. Signals continued retreat from consumer electronics toward gaming, IP, and semiconductors. TCL consolidates TV market dominance. Mirrors broader Japanese industrial retreat from consumer electronics manufacturing.

Sources: FT; Bloomberg

AI & Technology

NEW **[BlackRock's Fink — AI Threatens to Leave Masses Behind Unless They Invest]** CEO warned the AI boom risks making wealthy companies richer while worsening inequality. Called for broader individual participation in market gains. Both policy positioning and product marketing for BlackRock's retail strategies. Sets up regulatory conversations on AI wealth distribution through 2027.

DAY 2 **[Elliott's Synopsys Stake Sends Shares Higher — Activist Push Underway]** *Previously: Elliott built a multibillion-dollar position in chip-design software maker Synopsys.* Stock among biggest premarket movers Monday. Elliott targeting operational changes. Synopsys also invested in Kandou AI's $225M round. Previously: Previously: Elliott Investment Management built a multibillion-dollar position in Synopsys, the chip-design software maker. Synopsys is a near-monopoly in EDA alongside Cadence. $35B Ansys acquisition may face scrutiny. Restructuring reshapes the $50B chip design tools market.

DAY 2 **[FT — Iran War Threatens AI Boom via Chip Supply Chain's Gulf Dependencies]** *Previously: FT reported semiconductor supply chains depend on Middle East energy and chemical imports.* Prolonged Hormuz closure could constrain production at TSMC, Samsung, and Intel. Fab expansion timelines at risk. Previously: Previously: FT reported semiconductor supply chains depend on Middle East energy and chemical imports. Neon gas, semiconductor-grade chemicals, and energy inputs all have Gulf exposure. Multi-quarter disruption slows AI infrastructure buildout.

Sources: Bloomberg; FT; Bloomberg; FT

Economic & Business Intelligence

NEW **[UK Growth Set to Halve in 2026 — Consumers Retrench as Energy Bills Surge]** Forecasters warn growth could be cut in half. BoE preparing for potential rate hikes. EDF says one in eight customers already 45+ days overdue. Sweden proposed fuel tax cut to ease war-driven prices. UK faces twin squeeze of energy inflation and rate hikes. Stagflation increasingly base case for H2 2026.

NEW **[Indian Rupee Hits Record Low — RBI Says Economy 'Strong Enough' to Cope]** Rupee declined 3% since war began February 28. Oil surged 50%+ in that period. Modi warned of 'unprecedented challenges.' India imports ~85% of crude. Every $10 oil rise adds ~0.4% to CPI. RBI reserve burn rate unsustainable. Equity outflows likely to accelerate.

NEW **[Danone Buys UK Protein Brand Huel for €1B]** French food giant pushes into 'complete nutrition.' Huel makes fortified powders and drinks. Category has outpaced traditional food growth three years running. €1B price tag validates the DTC protein category. Expect competitor M&A from Nestlé and Unilever within 12 months.

NEW **[LVMH to Kering Defied Slowdown — Expanded European Stores in 2025]** Owners of Gucci, Fendi, and Bulgari grew European retail despite sector weakness. Signals confidence in tourism-driven demand. Counter-cyclical bet on tourist traffic rerouting from war-affected Gulf to European capitals. Watch H1 retail comps for validation.

DAY 2 **[Japan's Largest Union Wins 5%+ Wage Hike for Third Straight Year]** *Previously: Average pay increases exceeded 5%. BOJ developing new inflation model.* Result keeps BOJ on track for another rate hike. Yen weakness from oil imports adds urgency. Previously: Previously: Average pay increases exceeded 5%. BOJ developing new inflation model. Three consecutive 5%+ wage rounds cement BOJ normalization. Next meeting becomes a live event for another hike.

DAY 2 **[Wall Street Raises China Inflation Forecasts — Rate Cut Calls Pushed Back]** *Previously: Major US banks raised 2026 China inflation forecasts.* PBOC easing expectations delayed as surging oil changes the calculus. China's state refiners began exploring Iranian crude purchases after US waiver. Previously: Previously: Major US banks raised 2026 China inflation forecasts and delayed rate cut predictions. Discounted Iranian crude provides partial offset. PBOC easing cycle frozen. Growth support shifts to fiscal tools.

Sources: Bloomberg; FT; Bloomberg; FT; Bloomberg; Bloomberg; Bloomberg; Bloomberg; Bloomberg

Private Equity

NEW **[Bain Capital's Bridge Data Centres Seeks Up to $6B Loan — Asia's Largest]** Would be one of Asia's largest-ever data center borrowings. Bain simultaneously exploring sale of up to 70% stake. Citi and JPMorgan running the process. $6B loan alongside a potential $2B+ equity exit signals Bain recapitalizing at peak AI infrastructure demand. Watch for SWF or infra fund buyers.

NEW **[JPMorgan Boosts EA Buyout Loan to $5B — Shifts Debt Mix]** Dollar loan offering increased to $5B. EA touting $700M in cost savings to attract credit investors. Largest LBO financing in months. Larger loan component signals stronger bank appetite in leveraged loans than bonds. Proves war hasn't frozen the LBO market entirely.

DAY 2 **[Iran War Leaves Oil & Gas M&A 'in Paralysis']** *Previously: Iran war froze US oil and gas dealmaking as valuation gaps widened.* Sellers anchor to elevated spot prices. Buyers refuse war premiums. Bid-ask spreads widen further. Previously: Previously: Iran war froze US oil and gas dealmaking. Transaction pipeline stalled as valuation gaps widened. Paralysis could persist months beyond any ceasefire. Distressed opportunities may emerge Q3 if smaller operators face refinancing walls.

DAY 2 **[Grab Finalizes $600M Taiwan Foodpanda Deal — First Foray Outside Southeast Asia]** *Previously: Delivery Hero announced sale as first step in strategic review.* Cash deal expected to close H2 2026. Tests whether Grab's super-app model scales beyond ASEAN. Previously: Previously: Delivery Hero announced sale as first step in strategic review. Expect more asset disposals from European delivery platforms under PE pressure. Grab's geographic expansion is the strategic signal.

DAY 2 **[Private Credit Bank Contagion — Wall Street's 'Big Problem']** *Previously: Banks lending to private credit fund managers seeing losses return.* FT reports bank-to-fund leverage creates daisy chain where NAV declines trigger cascading margin calls. Previously: Previously: Banks lending to private credit fund managers — not directly to companies — are seeing losses return. The firebreak model is fraying. Credit cycle risk Goldman's Solomon flagged. Regulatory scrutiny will intensify through H2.

Sources: Bloomberg; Bloomberg; FT; Bloomberg; FT

Venture & Exits

NEW **[Kandou AI Raises $225M From SoftBank, Synopsys for Custom AI Chips]** Led by former Goldman Sachs MD. SoftBank, Maverick Silicon, and Synopsys among investors. Targets AI-optimized chip design. SoftBank's AI chip spree continues alongside $40B Nvidia commitment. Synopsys co-investment creates strategic design tooling alignment.

NEW **[Dash0 Hits $1B Valuation on $110M Balderton-Led Round]** Software monitoring platform targets US expansion. AI agent proliferation drives demand for observability. Competes with Datadog and Dynatrace. European B2B SaaS hitting unicorn in one round signals strong enterprise demand. Infrastructure software resilient despite broader tech correction.

NEW **[Saudi Unicorn Ninja Gauges IPO Appetite Despite Iran War]** Quick-delivery firm testing investor interest for Riyadh listing. Would be rare IPO proceeding amid regional conflict in its fourth week. Tests whether Saudi capital markets function independently of Gulf conflict. Failure signals regional risk premium too high for new issuance.

NEW **[Solo Investor Air Street Raises $232M to Chase AI Bets From London]** Nathan Benaich's single-GP fund targets early-stage AI companies. Speed and focus are the structural edge. Solo GP raising $232M shows concentrated LP appetite for AI. London's AI venture ecosystem gains traction as European alternative to Silicon Valley.

DAY 2 **[South Korea Defense Startups Surge as Global Conflicts Flare]** *Previously: Korea's closed defense ecosystem began opening to startups.* Startups making experimental weapons for modern warfare now emerging alongside Hanwha-led exports. Previously: Previously: South Korea's defense startup ecosystem began opening as global conflicts drove demand for next-generation military technology. Parallels Israel's model. VC allocation to defense-tech likely to triple by 2027 as government procurement accelerates.

Sources: Bloomberg; Bloomberg; Bloomberg; FT; Bloomberg

Real Estate & Property

NEW **[Bloomberg Economics — China Property Slump Could Bottom Out in 2027]** Country Garden expects to return to profit on a non-cash gain from debt restructuring. Bloomberg Economics sees 12–18 months to trough. Accounting profit from restructuring masks ongoing operational weakness. Calibrate China property exposure on a 2027+ recovery timeline.

Sources: Bloomberg; Bloomberg

Operational Calendar

CONFIRMED EVENTS

March 23-28 — Trump's Five-Day Iran Strike Postponement Window
Binary risk event. Strikes resume or talks progress. Oil faces extreme volatility through Friday.

March 23-28 — CERAWeek Conference — Houston
World's largest energy conference opens amid Iran war. Aramco CEO withdrew. Iran will 'overshadow everything else.'

March 25-29 — Art Basel Hong Kong 2026
240 exhibitors. Two new sectors. VIP days March 25–26. Public March 27–29.

March 25 — Chile Central Bank Rate Decision
Expected to hold. Oil surge threatens inflation success.

ON THE HORIZON

March 25 — Denmark General Election
PM Frederiksen rides Greenland row into election. Trump confrontation boosts third-term prospects.

On the Horizon — ECB April Rate Decision — Hike Now Base Case
Goldman, JPMorgan, Barclays all expect 25bp hike. Markets price three hikes for 2026. Lagarde speaks Wednesday.

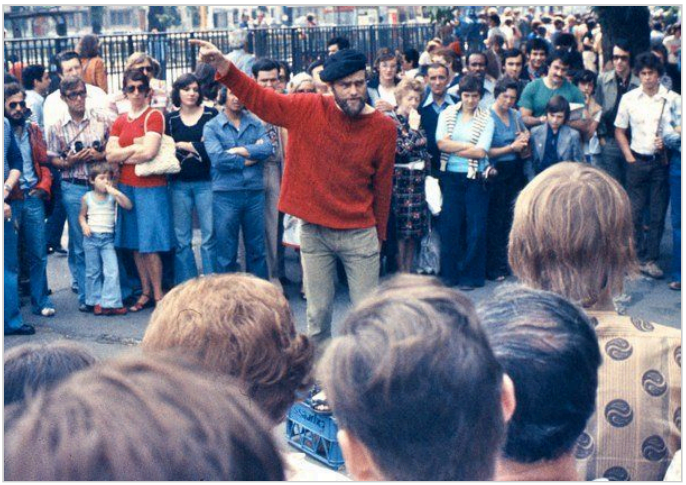
Late March — S&P Global Flash PMIs — US, Eurozone, UK
First hard data on Iran war's impact on business activity. Key read on inflation expectations.

Sources: Bloomberg; Bloomberg; Bloomberg; Bloomberg; FT; Reuters; FT

CONTEMPORARY ART SPOTLIGHT

Cecily Brown — Painting's Unstoppable Force Returns to London

As Art Basel Hong Kong opens and TEFAF closes with 50,000+ visitors, London's Serpentine prepares one of 2026's most anticipated exhibitions. Cecily Brown's 'Picture Making' opens March 27.



Orator at Speakers Corner, London, with crowd, 1974 — GeorgeLouis — CC BY-SA 3.0, via Wikimedia Commons

BORN 1966 · BRITISH-AMERICAN · MET MUSEUM 2023 SOLO · GAGOSIAN, PAULA COOPER · AUCTION RECORD $6.5M+

[Why it matters] Brown has achieved genuine critical respect alongside sustained auction momentum. Her canvases — dense figurative-abstract hybrids — channel de Kooning, Rubens, and Soutine through a 21st-century sensibility. The Serpentine show arrives as painting's commercial dominance is both celebrated and questioned.

[Current peg] 'Picture Making' opens March 27. New paintings alongside works from 2001. London's art calendar is charged — Art Basel Hong Kong runs simultaneously. Market tests post-TEFAF momentum against war-driven uncertainty.

[Historical context] Brown moved from London to New York in 1994. Her 2023 Met solo — 'Death and the Maid' — positioned her among the handful of living artists given full-scale institutional treatment. Works regularly sell in seven figures.

[One thing to know] Brown operates at peak efficiency across all three channels — primary sales, secondary auction, and museum shows — simultaneously. The Serpentine exhibition will catalyze further price discovery.

Sources: Bloomberg

THE MEMO · NO. 0018 · MARCH 23, 2026

The Memo is published for informational purposes only. Nothing herein constitutes investment advice, a solicitation, or a recommendation to buy or sell any security. Readers should consult their own financial advisors before making investment decisions.